ii. Limited Liability

The liability of a shareholder is limited. In the case of a company limited by guarantee, his liability is restricted to the amount that he has guaranteed to contribute in the event of winding up of the company.

iii. Transferability of Shares

Transaction of Shares between two individuals is easy. So there is liquidity of investment. Any shareholder can easily convert his shares into money by selling his shares.

iv. Perpetual Succession

A company has perpetual or continuous existence. Members may go or new members may come in, but the company continues to exist. This ensures continuity in operations and the company can undertake long term investments.

v. Promotion of Saving and Investment Habit

Joint stock company system encourages people to save. Even small amount can be used for the purchase of shares. A person can buy even one share of a company.

vi. Risk Bearing Capacity

The loss of the company is distributed over a large number of shareholders. So each shareholder bears a very little amount of loss. Hence the company form of organization has risk bearing capacity.

vii. Economies of Large-scale Operation

A joint stock company can undertake business on large scale. As a result it can derive all the advantages of large scale production. For e.g. Hero Moto Corp Ltd. 2015, the world's largest seller of two-wheelers, manufactures motorbikes on a large scale and is able to enjoy cost efficiency.

Example of Limited liability

Shyam is a share holder in a company holding 500 shares of ₹10 each, on which he has already paid ₹7 per share. In the event of losses or company's failure to pay debts , Shyam is liable to pay only ₹1,500. (i.e.,the unpaid amount of ₹3 on 500 shares)

viii. Economic Development

Joint stock company system has been responsible for the rapid growth of industries and trade in many countries. Since Joint Stock Companies have large financial resources, they are able to undertake large scale production, satisfy the needs of more number of consumers, create large scale employment opportunities, promote balanced regional development and contribute substantially to the government by way of taxes.

Disadvantages

The following are the disadvantages of company form of organization

i. Costly and difficult to form

Number of legal formalities must be observed in the formation of the company. To observe these legal formalities, promoters have to spend much time and money.

ii. Scope for dishonest and unscrupulous management

The directors manage the company with the help of paid officers. If the

commerce 1-15.indd 50 10/12/2022 16:31:09